

APP pitch deck

PITCH — APP — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION)

NO ENTRY at ~\$322 — both benches reject the buy; stay flat and re-open only on the Q3 print, an insider open-market purchase, or four weeks of price stability above \$340.
(PROPOSED — PENDING ADJUDICATION)

What we believe

AppLovin is not a broken business, but it is not a bargain either — it is a very good business whose growth engine just showed its first visible slowdown, priced by a crowd that can see the same thing we can.

The specifics: the stock has fallen 57% from its high (\$745.61) to fresh 52-week lows (~\$322, intraday low \$319.50) after the August 5 second-quarter report. Our original pitch framed that report as a “0.85% revenue miss” punished by a 20% drop — an overreaction worth buying. The court dismantled that framing. Advertising revenue grew 52.8% year over year, but the company guided the next quarter to 46–48% — a deceleration — and the quarter came in below the company’s **own** guidance midpoint (\$1.93 billion guided, \$1.924 billion delivered), the first time that has happened. Management’s explanation, that AI-model improvements were “lighter than normal,” refers to an internal cadence nobody outside the company can observe or verify. Every insider who *can* observe it sold stock between \$484 and \$600 this spring and summer, and none has bought a share at \$322.

What survives on the positive side: the company generates real cash (roughly \$4.6 billion annualized operating cash flow against \$3.05 billion of cash), stock compensation is modest and falling, the share count is shrinking, and a full accounting-trap sweep came back clean. So the verdict is “not now, at not this price, on not this evidence” — not “never.”

What the market believes

The market believes the growth story cracked. At least seven analysts cut their price targets the same day. The consensus view embedded in the price is that 70–80% growth is over, that the 46–48% guide may itself be optimistic, and that a company whose key growth metric exists only as an orally-presented, non-reconcilable figure deserves a discount until it proves otherwise. The sell-off was not mechanical or forced — no index rebalance, no margin cascade, no fund liquidation. It was a large group of informed people simultaneously marking down their estimate of how durable the growth is. That is the market working, not the market breaking.

Why we might have edge

Honestly: less than our original pitch claimed. What remains:

- **The quality is real.** The trap sweep (both benches concur) found genuine free cash flow, honest stock-compensation accounting, net share shrinkage, and no leverage tail. If the growth stabilizes anywhere above ~30%, today's price is likely cheap in hindsight.
- **A defined re-entry test exists.** The Q3 report (early November) either quantifies the e-commerce advertising vertical *in the filing* and clears \$2,055M in revenue, or it doesn't. That is a checkable, near-dated resolution most sellers today are not waiting around for.
- **The panic may overshoot.** A stock down 57% making new lows with sentiment this one-sided can fall below any reasonable fair value; the courts left a second-look level (\$302) armed for exactly that.

Why it might be priced in

This is the stronger side, and both benches said so:

- **No forced seller means no mispricing mechanism.** This is a heavily-covered stock being repriced by consensus on real information. The efficient-market case is the default here, and nothing in our work rebutted it.
- **The “cheap at ~21× next year's earnings” defense is circular.** That multiple uses an earnings estimate that assumes the disputed 46–48% guide holds. The stock is only cheap if the very thing in question is true.
- **The people with the best information sold.** All insider activity May–July was selling at \$484–\$600; there has never been an open-market purchase, including after the crash. (The blue bench fairly reduced the weight of this: only three trading sessions had passed post-report, likely inside a blackout window, the sales were probably pre-scheduled plans, and growth-company insiders almost never buy. But the absence of a single buy is still zero evidence in our favor.)
- **The one thing that would prove the story — the growth metric — cannot be independently verified,** and the SEC inquiry's closure exists only as a statement on a conference call, with no written filing.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“20% drop on a 0.85% miss = overreaction”	Pulled prior-year Q2 ad revenue from the company's own press release (SEC exhibit) and recomputed growth	Growth decelerating (52.8% reported vs 46–48% guided), and Q2 missed the company's own guidance midpoint for the first time. Our own pitch's “sub-1% miss” framing was a bench error — it hid the deceleration. The red bench's counter-claim that “the cadence just broke” was <i>also</i> trimmed: the quarter lapped a +77% comparison, and dollar growth was roughly flat, not collapsing.	Yes — original framing rejected

Claim	How checked	Found	Confirmed?
“~21× FY26 earnings is cheap”	Traced what the estimate assumes	The multiple embeds the disputed guide — circular	Yes (as a flaw)
Insider selling pattern	Re-pulled the Form 4 record independently on both benches (secform4)	All sales May–July at \$484–\$600; zero open-market purchases ever; none post-crash. Our first brief called the Aug 7 filing a post-crash “distribution” — it was actually a gift (transaction code G), a bench error the court corrected. Red’s quoted price range also missed a \$600 sale the blue bench found.	Yes — weight reduced by blue bench
“This is a dislocation (forced selling)”	Searched for any mechanical seller	None found; ≥7 same-day analyst cuts = informed consensus repricing	Confirmed by omission — classification rejected
SEC inquiry handling	Searched for any written closure	Closure stated on the earnings call only; no 8-K or press release exists; the inquiry never appeared in the 10-Q legal-proceedings section. The red bench escalated this to an automatic-exclusion offense; the blue bench ruled that an overreach — non-disclosure of informal inquiries is standard, legal practice. It remains a position-sizing concern, not a disqualifier.	Partially — written record still missing
Entry buffer vs our own stop	Arithmetic against the tape	Proposed entry (~\$322) sat 0.8–0.9% above the \$319.50 level our own falling-knife rule treats as forced re-review — the position dies procedurally before it can work	Yes — fatal for entry-now
“We’d be buying below the Street’s lowest target”	Traced target history	The same coverage rode \$700+ targets down 57%; their “floor” followed the price the entire way	Yes — anchor rejected
Machine data pack	Inspection	Quarterly revenue block empty, annual frames stale — pack defect filed; all revenue math redone from press releases	Yes — defect confirmed
Live broker quote	IBKR	Permission denied twice on both benches; 16:00Z Yahoo tape stands as the price record	No — stale-by-hours tape

PROPOSED ENTRY BANDS

The courts say no entry. Position: flat, size 0%. The reopen bands, from the benches’ own math:

- **Reopen band A — capitulation:** price alert below **\$325** fires a cause-check (was the down-day news-driven?); a print near **\$302** (the courts’ second-look level, ~6% below today) triggers a full re-hearing. New-low-on-touch means re-review, never an automatic buy.

- **Reopen band B — stabilization:** four consecutive weeks of the stock holding **above \$340** (clear of the \$319.50 invalidation level) reopens the case as a fairly-priced growth holding rather than a bargain claim.
- **Reopen trigger C — evidence, any one of:** (i) Q3 revenue $\geq$ **\$2,055M** with the e-commerce vertical quantified *in the filed 10-Q*, not just on the call; (ii) any insider open-market **purchase** (Form 4, code P) at these levels; (iii) written 8-K or press-release confirmation of the SEC inquiry closure.
- **Catalyst date:** Q3 2026 earnings, approximately **2026-11-04** — derived from a data feed, **not confirmed by any company announcement**. ~12 weeks out; nothing resolves before it.
- **Precondition for any future BUY:** a competition pass (Meta / Google / Unity closing the algorithmic gap is the unexamined alternative explanation for “lighter than normal”) must be run first. Neither bench ran one; the red bench flagged it as the biggest hole in its own case.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 302.0 (deck-provisional: courts’ second-look level — full re-hearing, never auto-buy)
- filing watch: 4 until 2027-02-07 (deck-provisional: any open-market insider purchase (code P) triggers immediate re-hearing)
- dated pack APP|2026-11-05: APP Q3-26: HIT = install volume y/y $\geq$ 0% AND revenue $\geq$ \$2,055M AND no ‘lighter than normal’ cadence language. RESOLVE: python3 -m desk.cal
- dated pack APP|2026-11-04: APP: Q3-2026 earnings — feed-derived, no company PR names it (date confirmed=False)

What remains unverified

- Whether the insider sales were under pre-scheduled 10b5-1 plans (assumed likely, never confirmed).
- The 10-Q legal-proceedings absence could not be independently re-read by the blue bench (sec.gov returned 403); the red brief’s primary read stands as the record.
- Whether the written shareholder letter mentions the SEC closure (same 403 block) — if it does, the disclosure concern weakens further.
- The competition pass (Meta/Google/Unity) — never run; mandatory before any future BUY.
- Seasonality analysis of the quarterly growth cadence — mandated, unrun on both benches (no shell access).
- Proxy statement related-party items and insider share pledges — unpulled.
- The live earnings date — feed-derived, no company announcement found.
- A live broker quote — denied both benches; all price math rests on the 16:00Z tape.

- The newly-filed universal shelf registration — unexamined (blue bench: routine housekeeping at a company running a \$1.5B/half-year buyback; near-zero signal).

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